

City of Canby, Oregon
Notes to the Financial Statements
June 30, 2025

6) Long-Term Liabilities

A. Debt Outstanding

The following tables present current year changes in long-term liabilities, and the current portions due for each category of long-term liability, presented separately with respect to governmental and business-type activities. Governmental compensated absences include the General Fund, Streets, Transit, and other Governmental funds.

Long-term liability activity for the year ended June 30, 2025, was as follows:

	Original Amount	6/30/2024 Balance (Restated)	Additions	Reductions	6/30/2025 Balance	Due Within One Year
Governmental Activities						
Bonds city						
2021 Full faith and credit obligations	\$ 18,435,000	\$ 7,730,000	\$ -	\$ 3,820,000	\$ 3,910,000	\$ 3,910,000
2021 premium	995,165	398,066	-	199,033	199,033	199,033
Total bonds city		<u>8,128,066</u>	<u>-</u>	<u>4,019,033</u>	<u>4,109,033</u>	<u>4,109,033</u>
Lease payable		615,009	-	78,195	536,814	56,388
Compensated absences		1,181,989	1,371,117	886,492	1,666,614	1,249,961
Total governmental activities		<u>\$ 9,925,064</u>	<u>\$ 1,371,117</u>	<u>\$ 4,983,720</u>	<u>\$ 6,312,461</u>	<u>\$ 5,415,382</u>
Business-Type Activities						
Lease payable		\$ 35,149	\$ -	\$ 4,876	\$ 30,273	\$ 6,138
Compensated absences		179,242	154,387	134,432	199,197	149,398
Total business-type activities		<u>\$ 214,391</u>	<u>\$ 154,387</u>	<u>\$ 139,308</u>	<u>\$ 229,470</u>	<u>\$ 155,536</u>
CUB - Discretely Presented						
Component Unit - Revenue Bonds						
2014 Water Rev Refund Bonds (2.3%)	\$ 1,951,000	\$ 150,000	\$ -	\$ 150,000	\$ -	\$ -
2017 Water Rev Refund Bonds (2.09%)	1,988,000	851,000	-	207,000	644,000	213,000
Total CUB Bonds		<u>\$ 1,001,000</u>	<u>\$ -</u>	<u>\$ 357,000</u>	<u>\$ 644,000</u>	<u>\$ 213,000</u>

B. Debt Service Requirements

Bonds – The City issues full faith and credit obligation bonds and loans/notes to provide funds for the acquisition and construction of major capital infrastructure and equipment. Full faith and credit obligation bonds and loans/notes outstanding at June 30, 2025, as well as CUB revenue bonds outstanding are as follows:

Fiscal Year Ending June 30,	City of Canby Governmental Activities			CUB		
	Bonds - URA	Interest	Activities	Principal	Interest	Total
2026	\$ 3,910,000	\$ 99,184	\$ 4,009,184	\$ 213,000	\$ 11,234	\$ 224,234
2027	-	-	-	213,000	6,782	219,782
2028	-	-	-	218,000	2,278	220,278
Total	<u>\$ 3,910,000</u>	<u>\$ 99,184</u>	<u>\$ 4,009,184</u>	<u>\$ 644,000</u>	<u>\$ 20,294</u>	<u>\$ 664,294</u>

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The City's outstanding bond is managed by Bank of New York Mellon and is not a direct placement bond. There is no pledged collateral as the bond is a Full Faith and Credit Issuances. In the event of default and a majority vote of the owners, the agent has authority to take whatever action necessary to enforce the financing agreement. The agent does not have the right to declare the unpaid principal immediately due.

Lease Payables – The City has a ground lease agreement with Canby School District No. 86 for property that the Canby Swim Center and Adult Center are built on. The current agreement, which began August 3, 2016, calls for annual rent of \$20,000 per year payable in monthly installments. The agreement includes automatic renewal in one-year periods with no set termination date. The lease payable was calculated using a discount rate of 3.75%.

The City leases office space for Canby Area Transit from Zimmer Ventures Inc. The agreement, which began on July 1, 2023 and ends January 1, 2026, requires monthly rent payments of \$3,606 in the first twelve months, \$3,714 in the second twelve months, and \$3,825 in the last six months. The lease payable was calculated using a discount rate of 4.05%.

The City has multiple copier leases that are billed to the departments. The agreements, which are 60 months long and begin between December 16, 2020 and April 8, 2024, require monthly payments ranging from \$256 to \$675 per month. The lease payable was calculated using discount rates between 3.25-5.20%.

At June 30, 2025, future principal and interest payments for the lease liabilities are as follows:

Governmental Activities			
Year Ending June 30,	Principal	Interest	Total Payment
2026	\$ 56,388	\$ 19,579	\$ 75,967
2027	19,227	18,242	37,469
2028	22,840	17,250	40,090
2029	14,550	16,196	30,746
2030	4,107	15,893	20,000
2031 - 2035	22,965	77,035	100,000
2036 - 2040	27,606	72,394	100,000
2041 - 2045	33,185	66,815	100,000
2046 - 2050	39,892	60,108	100,000
2051 - 2055	47,954	52,046	100,000
2056 - 2060	57,646	42,354	100,000
2061 - 2065	69,296	30,704	100,000
2066 - 2070	83,301	16,699	100,000
2071 - 2072	37,857	2,143	40,000
Total	<u>\$ 536,814</u>	<u>\$ 507,458</u>	<u>\$ 1,044,272</u>